ited its losses to 45% of margins, its overall loss would have been just $6,719 (or $634 average loss), and it probably would have continued operating until it caught some good moves and gotten back into the black.

It is enlightening to compare these two traders' results with those of another of my clients, a small private trading fund that started with $18,000 and, after 18 months, had appreciated its capital to $130,000. Of the total 230 trades, 150 were profitable and the rest losses. The average profit was $1,020, while the average loss was $515.

The three recaps tell the story. The first two traders tended to trade against the major trends and made no serious attempt to limit losses on adverse positions. On the contrary, profitable positions were quickly closed out, while losses were held for even bigger losses.

The third account, on the other hand, was obviously disciplined to trade with the prevailing trends and followed a strict policy of minimizing losses and allowing profits to run (average profit was twice the average loss).

Keep Losses Low

To trade successfully, you'll need adequate trading capital, but that's quite relative. I would think you could start with as little as $12,000 to $15,000, assuming you trade intelligently. That means small positions, low frequency of activity and accuracy in your trade timing.

Keeping losses low is much more important than being able to start with a large sum because the careless trader with the large account very quickly becomes the careless trader with the small account.

This was brought vividly into focus for me some months ago when I was visited by a man who had bought a computerized trading system with which I had been involved.